CLOSING STATEMENT

Kestrel Logistics Center | Kansas City, MO

Property	Kestrel Logistics Center
Settlement Date	February 1, 2021
Buyer	Vireo Income Properties
Seller	Tallgrass Equity Group
Sale Price	$12,310,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$12,310,000			
Earnest money deposit		$22,997	$22,997	
Real estate tax proration	$56,978			$56,978
Rent proration			$76,754	
Security deposits assumed	$48,086	$48,086		
Prepaid rents			$114,805	$114,805
Owner's title policy premium	$100,730			
Lender's title policy premium		$5,673	$5,673	
Escrow fee	$35,454			$35,454
Recording fees			$88,444	
Transfer tax	$39,714	$39,714		
Survey			$28,685	$28,685
Legal fees - Buyer	$102,450			
Legal fees - Seller		$72,622	$72,622	
Broker commission	$34,403			$34,403
Loan origination fee			$57,086	
Lender legal	$62,162	$62,162		
Appraisal fee			$51,310	$51,310
Environmental report	$93,913			
Property condition report		$69,352	$69,352	
Tax escrow deposit	$12,124			$12,124
Insurance escrow deposit			$37,183	
Replacement reserve deposit	$107,739	$107,739		

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$12,310,000			
Legal fees - Seller		$72,862	$72,862	
Broker commission	$69,265			$69,265
Loan origination fee			$108,249	
Lender legal	$28,212	$28,212		
Appraisal fee			$9,385	$9,385
Environmental report	$8,459			
Property condition report		$110,787	$110,787	
Tax escrow deposit	$56,404			$56,404
Insurance escrow deposit			$19,299	
Replacement reserve deposit	$31,394	$31,394		
Utility deposits			$3,314	$3,314
Assumed vendor contracts credit	$32,041			
Tenant improvement credit		$45,342	$45,342	
Courier / wire fees	$47,903			$47,903
Municipal certificates			$101,282	
Purchase price	$52,085	$52,085		
Earnest money deposit			$89,771	$89,771
Real estate tax proration	$64,114			
Rent proration		$14,070	$14,070	
Security deposits assumed	$115,705			$115,705
Prepaid rents			$16,340	
Owner's title policy premium	$77,925	$77,925		
Lender's title policy premium			$98,947	$98,947
Escrow fee	$60,365			
Recording fees		$33,593	$33,593	
Transfer tax	$23,613			$23,613
Survey			$89,730	

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Valuation Discussion

The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 3.0% over the hold period.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Effective gross income for the trailing period was $364,000, representing a 9.7% increase over the prior year.

Financial Analysis

The going-in capitalization rate of 5.90% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $392,000 or approximately 33.26 per square foot, with real estate taxes representing the largest line item. The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations.

Operating expenses totaled $398,000 or approximately 39.95 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $198,000, representing a 8.8% increase over the prior year. In-place rents average $7 per square foot triple net with 3% annual escalations. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Valuation Discussion

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $137,000, representing a 7.4% increase over the prior year. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $326,000 or approximately 35.66 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 6.33x on a trailing basis against a covenant minimum of 1.20x. In-place rents average $7 per square foot triple net with 3% annual escalations. The going-in capitalization rate of 7.88% reflects the in-place income and the stabilized occupancy assumption. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $57,000, representing a 3.5% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$12,310,000			
Tenant improvement credit		$14,090	$14,090	
Courier / wire fees	$6,087			$6,087
Municipal certificates			$93,276	
Purchase price	$51,361	$51,361		
Earnest money deposit			$67,562	$67,562
Real estate tax proration	$69,400			
Rent proration		$91,536	$91,536	
Security deposits assumed	$112,252			$112,252
Prepaid rents			$70,462	
Owner's title policy premium	$49,602	$49,602		
Lender's title policy premium			$42,325	$42,325
Escrow fee	$89,584			
Recording fees		$109,641	$109,641	
Transfer tax	$50,555			$50,555
Survey			$80,701	
Legal fees - Buyer	$19,331	$19,331		
Legal fees - Seller			$104,977	$104,977
Broker commission	$117,880			
Loan origination fee		$121,762	$121,762	
Lender legal	$28,172			$28,172
Appraisal fee			$104,711	
Environmental report	$83,001	$83,001		
Property condition report			$121,124	$121,124
Tax escrow deposit	$110,919			
Insurance escrow deposit		$11,255	$11,255	
Replacement reserve deposit	$111,799			$111,799
Utility deposits			$99,887	

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Valuation Discussion

The building offers 34' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Debt service coverage ratio was 6.80x on a trailing basis against a covenant minimum of 1.20x. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations. Operating expenses totaled $313,000 or approximately 16.26 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $479,000, representing a 6.4% increase over the prior year. The building offers 22' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Operating expenses totaled $214,000 or approximately 24.21 per square foot, with real estate taxes representing the largest line item. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating Performance

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. Management fees are calculated at 5.9% of collected revenue and are included in operating expenses.

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Debt service coverage ratio was 7.20x on a trailing basis against a covenant minimum of 1.20x. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 33' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Operating expenses totaled $134,000 or approximately 40.92 per square foot, with real estate taxes representing the largest line item.

Income and Expense Review

Effective gross income for the trailing period was $271,000, representing a 3.2% increase over the prior year. Operating expenses totaled $85,000 or approximately 46.42 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building offers 41' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Management fees are calculated at 7.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.46% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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